

Understanding your pay

1. Overview

When you start work, your employer should tell you how much you'll be paid and how often. They should also tell you:

- the day or date you'll be paid, for example each Friday or the last day of the month
- how you'll be paid, for example cash, cheque or bank transfer

If you're an employee or worker (not a contractor or freelancer), you have the [right to a payslip \(/payslips\)](/payslips). You can [check your employment status \(/employment-status\)](/employment-status) if you're not sure. Your payslip shows:

- your earnings before and after any deductions
- the amount of any deductions that may change each time you're paid, for example tax and National Insurance
- the number of hours you worked, if your pay varies depending on time worked

You might need to know how to work out your weekly pay if you have to claim payments for redundancy or compensation from your employer.

Part-time workers

If you're a part-time worker, you must get at least the same hourly pay rate as a full-time worker doing a similar job.

2. Working out your pay

Knowing how to work out your weekly pay is important because it's used to calculate how much you should get for:

- [redundancy pay \(/redundancy-your-rights/redundancy-pay\)](/redundancy-your-rights/redundancy-pay) and pay during time off for job-hunting if you're made redundant
- pay during your notice period when leaving a job
- holiday pay

- guarantee pay for work - you get this if your employer cannot provide you with work but your contract says they have to pay you anyway
- compensation awarded by Employment Tribunals

What you're entitled to depends on [your work status \(/employment-status/\)](/employment-status/).

You do not need to calculate your weekly pay if you're paid weekly and your pay does not vary.

If your pay varies or you're not paid weekly, you'll need to calculate your weekly pay. You'll usually use a 12-week period to work it out. For [holiday pay \(/holiday-entitlement-rights/holiday-pay-the-basics/\)](/holiday-entitlement-rights/holiday-pay-the-basics/), use a 52-week period instead.

The 12-week period

You can work out your weekly pay by getting an average figure for a 12-week period. The particular 12 weeks you use varies depending on what you're calculating your pay for.

Redundancy

Use the 12 weeks up to the day you got your redundancy notice to [work out your redundancy pay \(/calculate-your-redundancy-pay/\)](/calculate-your-redundancy-pay/).

Notice pay

Use the 12 weeks up to the first day of the notice period to work out what your notice pay should be.

Guarantee payments

Use the 12 weeks leading up to when your payment is due. If you no longer work for that employer, use the last 12 weeks of your employment with them.

If you've worked for your employer for less than 12 weeks, you should be allowed to calculate your average weekly pay using:

- the number of hours you would have worked
- the hours of other workers doing a similar job for your employer

Working out your weekly figure

Add up the total amount of pay for the period and divide it by 12 to get the weekly figure. You do this even if you've had to use a period of more than 12 weeks.

Bonuses and commission

You can [include bonuses and commission in your calculations \(/understanding-your-pay/pay-calculations-if-you-work-shifts-or-get-bonuses\)](#) if your contract says your employer has to pay them.

Overtime

You can include overtime in your calculations if your contract says your employer has to pay it.

Work done for a previous employer

You can include pay for work done for a previous employer if you're calculating your average weekly pay and you did not have a gap in employment when you changed jobs.

Get help with the calculations

If you need help working out a week's pay, you can:

- [find advice on the Acas \(Advisory, Conciliation and Arbitration Service\) website \(https://www.acas.org.uk/advice\)](https://www.acas.org.uk/advice)
- [contact Citizens Advice \(https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox\)](https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox)

3. Pay calculations if you work shifts or get bonuses

If your pay or working hours vary from week to week, the calculations for working out your weekly pay are more complicated.

Bonuses and commission

Your pay could vary depending on the amount of work you do, because of:

- bonuses

- commission
- 'piece work' - you're paid by the amount of work you do, rather than by the hour

The 12-week period

If you get bonuses, commission or piece work, you'll need to work out your average hourly rate over a 12-week period to work out your weekly pay.

Add up your total pay for the 12 weeks first. You can include overtime, bonuses and commission if your contract says your employer has to pay them.

There are special calculations for bonuses.

Quarterly bonuses

You can include a proportion of your quarterly bonuses in your calculations.

- 1 Divide the bonus amount by 13 (the number of weeks in a quarter of a year).
- 2 Multiply this figure by 12 (the number of weeks your pay is averaged across).

Example

If you get a quarterly bonus of £260:

- divide £260 by 13 weeks = £20
- multiply £20 by 12 weeks = £240

You can include a bonus of £240 as part of your 12-week total.

Annual bonuses

If you get an annual bonus here's what you need to do.

- 1 Divide the bonus amount by 52 (the number of weeks in a year).
- 2 Multiply this by 12.

Example

If you get an annual bonus of £5,200:

- divide £5,200 by 52 weeks = £100 per week
- multiply £100 by 12 weeks = £1,200

You can include a bonus of £1,200 as part of your 12-week total.

Hourly rate

Work out the average hourly rate by dividing the total amount you earned in 12-week period by the number of hours you worked.

Weekly rate

Multiply your hourly rate by the average number of hours you worked each week in the 12-week period, to get your weekly rate.

Shift or rota work

Your week's pay will be the average number of hours you work at an average pay rate over a 12-week period.

Example

Your pay is £9 per hour and you work three 9-hour shifts, then you have 3 days off.

You're paid £11 per hour at weekends. At the start of the 12-week period, your first day at work is a Monday. Here's how you work out your pay.

- 1 Work out how many hours you did over the 12-week period (42 x 9-hour shifts = 378 hours).
- 2 Divide this by 12 to work out your average weekly hours: 378 divided by 12 = 31.5 hours.
- 3 Calculate your pay for the weekday shifts. You'd have worked 30 weekday 9-hour shifts at £9 per hour. 30 shifts x 9 hours = 270 hours. Multiply this by £9 to get the total you were paid for your weekday shifts: £2,430.
- 4 Divide £2,430 by 12 to get the weekly figure: £202.50.
- 5 Calculate your pay for weekends. You'd have worked 12 weekend 9-hour shifts at £11 per hour. 12 shifts x 9 hours = 108 hours. Multiply this by £11 to get the weekend total: £1,188.
- 6 Divide this by 12 to get the weekly figure: £99 per week.
- 7 Add the weekday and weekend figures together: £202.50 + £99 = £301.50. This is your weekly rate.

Get help with the calculations

If you need help working out a week's pay, you can:

- [find advice on the Acas \(Advisory, Conciliation and Arbitration Service\) website \(https://www.acas.org.uk/advice\)](https://www.acas.org.uk/advice)
- [contact Citizens Advice \(https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox\)](https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox)

4. Performance-related pay

Your employer should base your performance-related pay on clear, measurable targets - they should tell you about these.

There are 2 main types of performance pay:

- short-term schemes, like bonus payments or sales commission
- long-term schemes, like company shares

Non-payment of bonuses or commission

If you do not get a bonus or commission you're owed and you think there's been a mistake:

- speak to your employer to see if there's been a misunderstanding
- ask them set out in writing how they've calculated your pay
- keep copies of any letters and notes of any meetings

If a bonus or commission is included in your contract, non-payment is a breach of contract. You can get help with [making a complaint \(/solve-workplace-dispute\)](#).

Non-payment of bonuses may also be covered legally under:

- [unlawful deductions from wages \(/understanding-your-pay/deductions-from-your-pay\)](#) - for example, you're entitled to payment but it has not been given
- [unlawful discrimination \(/discrimination-your-rights/discrimination-at-work\)](#) - your employer must not discriminate against particular groups, for example giving smaller bonuses to women

If you need help, you can:

- [go to Acas \(Advisory, Conciliation and Arbitration Service\) for advice \(http://www.acas.org.uk/\)](#)
- [contact your nearest Citizens Advice \(https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox\)](#)
- talk to your [trade union representative \(/join-trade-union/role-of-your-trade-union-rep\)](#)

5. Deductions from your pay

Your employer is not allowed to make deductions unless:

- it's required or allowed by law, for example National Insurance, income tax or student loan repayments
- you agree in writing
- your contract says they can
- there's a statutory payment due to a public authority
- you have not worked due to taking part in a strike or industrial action
- there's been an earlier overpayment of wages or expenses

- the [court has told your employer to take debt payments \(/debt-payments-from-your-wages\)](#)

A deduction cannot normally reduce your pay below the [National Minimum Wage \(/national-minimum-wage-rates\)](#) even if you agree to it, except if the deduction is for:

- tax or National Insurance
- something you've done and your contract says you're liable for it, for example a shortfall in your till if you work in a shop
- repayment of a loan or advance of wages
- repayment of an accidental overpayment of wages
- buying shares or share options in the business
- [accommodation provided by your employer \(/national-minimum-wage-accommodation\)](#)
- your own use, for example union subscriptions or pension contributions

If you work in retail - for example shops, restaurants

Your employer cannot take more than 10% from your gross pay (pay before tax and National Insurance) each pay period to cover any shortfalls.

Example

There's a shortfall of £50 in your till and your employer wants to deduct this from your earnings.

You're paid £250 gross per week. Your employer can take 10% of your gross earnings, which is £25.

They must only take £25 one week and then make another deduction from your next pay cheque for £25.

If you leave your job, they can take the full amount owed from your final pay.

If you have not been paid in full

Speak to your employer first to try to sort out the problem informally.

If this does not work, you can:

- [go to Acas \(Advisory, Conciliation and Arbitration Service\) for help and advice](https://www.acas.org.uk/dispute-resolution) (<https://www.acas.org.uk/dispute-resolution>)
- [contact your nearest Citizens Advice](https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox) (<https://www.citizensadvice.org.uk/about-us/how-we-provide-advice/advice/search-for-your-local-citizens-advice/#searchbox>)
- talk to your [trade union representative](https://www.gov.uk/join-trade-union/role-of-your-trade-union-rep) (<https://www.gov.uk/join-trade-union/role-of-your-trade-union-rep>)

You have the right to go to an [Employment Tribunal \(/employment-tribunals\)](/employment-tribunals) to get your money.

If you leave your job

Check your contract to see if your employer is allowed to withhold your pay. Normally you're entitled to be paid everything you've earned up to the point you finish.

If you're forced to resign because your employer refuses to pay you, you may be able to make a constructive dismissal claim in an [Employment Tribunal \(/employment-tribunals\)](/employment-tribunals).



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